

## **Saltmarsh Environmental Partners LLC**

www.saltmarshenv.com

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April 30, 2016

Michelle Roberts  
Chief Financial Officer  
Dyer and Sons

Dear Ms. Roberts,

Thank you for asking us to review the property before Dyer and Sons commits to the purchase. This letter sets out the terms on which we will carry out a Phase I Environmental Site Assessment for Dyer and Sons, and it records in writing what we discussed by telephone last week. I have kept it plain, because you should know exactly what you are engaging us to do before any work begins. Please read it through, and if any part of it differs from what you expected, call me and we will settle it before you sign.

### **The Assessment We Will Carry Out**

A Phase I assessment is a review of a property's environmental history and its present condition. We conduct it to the current ASTM standard, E1527-13, which is the practice a lender or a buyer will expect us to have followed. The purpose is to identify recognized environmental conditions, the term of art for evidence that a release of a hazardous substance has occurred, is occurring, or is likely to have occurred on the property. Where we find such evidence we will say so, and where we do not, we will say that as well.

The work falls into a records review, a site visit, and a set of interviews, and the report draws the three together. We examine historical aerial photographs, fire-insurance maps, chain-of-title material, and any prior environmental reports on the property. We commission a regulatory database search covering the parcel and the sites around it, and we read what the federal and state records show about the property and its neighbors. One of our scientists then walks the site and photographs what is there, and we speak with people who know its history. None of this involves sampling soil or groundwater. A Phase I is a paper-and-observation study, and if it turns up a condition that warrants testing, that testing is a separate piece of work we would scope with you at the time.

## **Who Will Do the Work**

I will oversee the engagement and sign the report that reaches you, and I read every report before it leaves this office. James Henderson, one of our environmental scientists, will lead the records review and the regulatory research and will write the assessment; the desk work behind a Phase I is his particular strength. Mary Foster, our field technician, will conduct the site reconnaissance and keep the photographic record. John Sanchez, our senior scientist, will review the findings before I do, and he will tell me plainly if the record does not support a conclusion. Between us you have the whole of the firm's technical bench on this file.

## **Fee and Schedule**

We will carry out the assessment for a fixed fee of \$34,000, which covers the records review, the regulatory database search, the site visit, the interviews, and the written report. The fee does not move with the findings, so you know the cost of the work at the outset. We are ready to begin on May 10, 2016, and we expect to have the report to you approximately four months after we start, allowing for the turnaround of the regulatory database search and the records we request from third parties. If anything in the file threatens that timing, you will hear it from me early, not at the end.

## **Fees and Payment**

We invoice the fixed fee in two parts: half on your signing of this letter, and the balance on delivery of the report. Invoices are payable within thirty days of the date they carry. Any direct costs we arrange on your behalf, such as the regulatory database subscription or the retrieval of archived records, are included in the fixed fee and are not billed separately, so there is nothing unexpected on a later statement.

## **Term and Termination**

The engagement begins when you sign this letter and ends when we deliver the report and you have paid for it. Either of us may end it earlier on written notice. If you end it before we finish, we will bill you for the work completed to that point and hand over what we have produced. If we end it, which we would do only for a reason we could explain to you, we will not bill for work left undone.

## **Confidentiality**

We treat what we learn about the property and about Dyer and Sons as yours, and we do not discuss your business with anyone outside the engagement without your



consent. The report is prepared for your use and for the lender or counsel you name to us. We keep our working file for the period our professional standards require, and we release it to no one else without your instruction or a lawful demand we cannot refuse.

### **Limitation of Liability**

A Phase I assessment reduces uncertainty; it does not remove it. It reflects the records that exist and are reasonably ascertainable, the condition of the property on the day we see it, and the recollections of the people we interview, and it cannot account for what those sources do not disclose. For that reason our liability arising out of this engagement is limited to the amount of the fee, except where the law does not permit such a limit. This is the ordinary term for work of this kind, and I am glad to talk it through if it gives you pause.

### **Governing Law**

This agreement is governed by the law of the state in which the property lies, and any dispute under it will be resolved in the courts of that state. We would of course try to settle any disagreement between us directly before it reached that point.

If these terms match your understanding, please sign both copies of this letter and return one to me, and we will begin the assessment on the date named above. I am glad to be working with you on this, and please feel free to call me directly at any point while the work is underway.

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**Angela Flynn**

Managing Principal

Date: April 30, 2016

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**Michelle Roberts**

Chief Financial Officer, Dyer and Sons

Date: April 30, 2016